

He looked back at the historical price chart (weekly scale) and found another horn top at A. This one formed a double top. Visibility to the left of the pattern was clear compared to the one at B where the stock was already trending lower. The A pattern correctly predicted a drop that turned into a decline of 13 points, or 32% below the bottom of the horn (approximately).

“The horn top at B looked to be saying the same thing, that the drop would continue.” Indeed, the stock started dropping the week of the breakout and plunged from about 38 to 31 in a week.

That big drop combined with dying from Covid-19 and the possibility of being unemployed for months convinced him to sell his position and use some of the profit to buy toilet paper (people in the United States hoarded the stuff).

When the stock opened at C, he sold his stock. He received a fill at 31 and change (for a profit of 54%) and watched the stock drop to a low of 19.20 in mid-March (D), a 38% plunge below his sale price. Price started to recover, and what did his eyes reveal?

A horn bottom.

“I struggled with wanting to buy the stock, but thought a second bottom would happen when the markets realized that the virus might be worse in the fall and that unemployment claims would skyrocket again.”

He overcame his fear and knew a good buying opportunity when he saw one. He decided to buy the stock. He received a fill at 26.40, two weeks after the right horn bottom. The stock is currently at about 36, and the general market is racing higher.